# PROFESSIONALISM

## Learning Outcomes

- evaluate practices, policies, and conduct relative to the CFA Institute Code of Ethics and Standards of Professional Conduct
- explain how the practices, policies, and conduct do or do not violate the CFA Institute Code of Ethics and Standards of Professional Conduct

## Knowledge of the Law

Members and Candidates must understand and comply with all applicable laws, rules, and regulations (including the CFA Institute Code of Ethics and Standards of Professional Conduct) of any government, regulatory organization, licensing agency, or professional association governing their professional activities. In the event of conflict, Members and Candidates must comply with the more strict law, rule, or regulation. Members and Candidates must not knowingly participate or assist in and must dissociate from any violation of such laws, rules, or regulations.

## Mandracken

SBS Bank (SBS) serves as a custody bank for a wide range of clients. SBS offers a variety of services to its clients, including custody, clearing, payment, settlement, and record keeping. SBS charges its clients an asset-based fee for these services. Pursuant to the bank's client agreement, custody clients agree to reimburse the bank for out-of-pocket expenses for items paid by the custodian on their behalf. The majority of these expenses are for messages sent via the Society for Worldwide Interbank Financial Telecommunication (SWIFT), a secure messaging network used by banks and other financial institutions. Although SBS charges custody clients an established rate for SWIFT messages, the rate is greater than the actual cost of providing this service.

Mandracken, CFA, a vice president at SBS who oversees client service responsibilities, recognizes this discrepancy and brings it to the attention of his supervisor. In an email, Mandracken states that "although disclosure of charging for SWIFT fees is noted in the clients' fee schedules, the fees have always included an increase over actual cost, so the charge to clients is not a true pass-through because we add a margin." Mandracken's supervisor instructs him to reduce the SWIFT fee rate for new clients and to revisit the rate for existing clients when their contracts are renewed.

To meet his obligations under the CFA Institute Code and Standards, Mandracken should

**A.** implement the corrective procedures as directed by his supervisor.
**B.** implement the corrective procedures as directed by his supervisor but report his objections to the bank's board of directors.
**C.** refuse to participate in any client interactions using the fee schedule until the bank revises the SWIFT rate to reflect the actual cost of the service.

## Analysis

C is correct. This case involves how to appropriately address the misconduct of others in carrying out your professional responsibilities. Standard I(A) Knowledge of the Law prohibits CFA Institute members and candidates from knowingly participating or assisting in legal or ethical violations and requires them to dissociate from any such activity. SBS is misrepresenting its reimbursable expenses to its custody clients and overcharging them. Although Mandracken brings the issue to the attention of his supervisor, his supervisor's corrective measures are inadequate because they (1) address the issue only for new



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refuse to participate in any client interactions that use the fee schedule until the bank revises the SWIFT fees charged to custody clients to reflect actual out-of-pocket costs.

A is incorrect. Under the Code and Standards, Mandracken cannot continue to participate in or be associated with this misconduct. Inaction by a member and continuing association with those involved in illegal or unethical conduct might be viewed as participation or assistance in the illegal or unethical conduct.

B is incorrect. Mandracken might need to take drastic measures to dissociate from the activity and to protect client interests, such as leaving the bank or reporting the misconduct to the bank's board of directors or regulators. Several interim steps should be considered before this action, such as talking to his supervisor or the bank's compliance department about the inadequacy of the proposed corrective measures, but Mandracken cannot continue to interact with clients using a fraudulent fee schedule.

## Pellie

Pellie, CFA, is CEO of Kwaume Investment Group (KIG), an investment adviser that is a wholly owned subsidiary of Kwaume Bank. A longtime bank customer that Pellie and some of the bank's board members know personally recently opened an investment account at KIG with a stated investment objective of earning income. The client made a few investments over the course of the next year, but most of the activity in the account involved several hundred bank transactions that totaled $90 million in deposits and $84 million in withdrawals.

The transactions included electronic transfers to and from individuals and entities located in bank secrecy havens and countries identified by the government as at risk for money-laundering activity. Pellie knew that the client was engaged in international business pursuits involving transactions with a higher risk potential for corruption and bribery. Given the client's longstanding relationship with the bank, Pellie assumes the transactions have a legitimate business purpose and accepts vague descriptions, such as "for services provided," "consulting fees," and "commissions." When he receives the daily anti-money-laundering (AML) reports, which are required by law when transactions trigger red flags of potentially suspicious activity, he approves them without further inquiry.

Pellie's actions are

**A.** a violation of the CFA Institute Code and Standards.
**B.** appropriate because Pellie is protecting the confidentiality of client information.
**C.** appropriate because Pellie can rely on the account's clearing firm to report suspicious activity for the account.

## Analysis

A is correct. Pellie's actions violate Standard I(A) Knowledge of the Law, which states that CFA Institute members and candidates "must understand and comply with all applicable laws, rules, and regulations . . . governing their professional activities." The facts presented should have raised questions regarding the legitimacy of the client's account. The high volume of deposits and withdrawals combined with the low number of investment transactions is inconsistent with an investment account having a stated objective of earning income. The transactions in the account appeared to be high-risk transactions for money-laundering activity and should have received a greater level of scrutiny by Pellie. But rather than investigate as required by law, Pellie did not inquire further because of the client's longstanding relationship with the bank and its board members. Pellie's failure to comply with AML requirements imposed by law violates Standard I(A).

B is incorrect. The duty of loyalty to clients and the preservation of confidentiality of client information cannot be used as justification to allow clients to violate the law or otherwise damage the integrity or viability of global capital markets.

C is incorrect. Pellie cannot rely on the clearing firm to meet KIG's obligation to review the transactions for suspicious activity because that is his responsibility.

purchase one type of product (Class A) but later change their minds and ask to switch to another, lower-priced product (Class B). For Mwangi to complete the transaction, the law requires that she have her clients sign new sale and purchase documents for the Class B product. Given that not all the documents are ready for signing at the time of the clients' request, Mwangi advises her clients to wait to sign until the complete set of documents has been prepared. When the full set of documents is ready, Mwangi tries unsuccessfully to reach her clients for their signatures. Because of the missing signatures, Mwangi's manager threatens to cancel the exchange, which, because of other investment purchases, would place the clients' accounts into an overdraft position. Under the firm's policies, account shortfalls are covered by selling account assets once the shortfall has been outstanding for two weeks. To prevent this from happening, Mwangi signs the necessary documents on behalf of her clients.

Mwangi's actions are

**A.** a violation of the CFA Institute Code and Standards.
**B.** acceptable because her clients had already given their permission for the exchange to be made.
**C.** acceptable if the clients gave Mwangi explicit permission to sign the documents on their behalf.

## Analysis

A is correct. This case involves Standard I(A) Knowledge of the Law, which requires CFA Institute members and candidates to "comply with all applicable laws, rules, and regulations . . . governing their professional activities." To complete the exchange from the Class A to the Class B product, Mwangi's clients were legally required to sign the new sale and purchase documents, which did not happen. By signing the documents on behalf of the clients, Mwangi forged their signatures. This violation of the law constitutes a violation of Standard I(A).

B is incorrect. General approval, written or verbal, of the transaction by the clients is insufficient to meet the legal requirement for client signatures.

C is incorrect. Even if the clients fully understand what is required to make the switch and explicitly give Mwangi permission to sign the forms on their behalf, the law requires that the genuine signatures of the clients be on the documents. Although the intent of the law is to protect the clients and the clients would be waiving their rights, Mwangi is still not permitted to circumvent the legal requirements.

## Independence and Objectivity

> Members and Candidates must use reasonable care and judgment to achieve and maintain independence and objectivity in their professional activities. Members and Candidates must not offer, solicit, or accept any gift, benefit, compensation, or consideration that reasonably could be expected to compromise their own or another's independence and objectivity.

## Myers

Myers, CFA, is a partner at Corboba, a $3 billion hedge fund that focuses on environmental, social, and governance investments. To support upcoming public office elections, Myers wants to personally donate $10,000 to one of the candidates, DeFrietas. As a passionate climate advocate and an avid proponent of responsible investment, Myers supports DeFrietas's backing of environmental policies to reduce air pollution and mitigate the effects of climate change. Myers believes his political contribution might also be beneficial for Corboba because DeFrietas is running for a position that can influence which hedge funds receive investments from the state's pension plans.

Myers's best course of action is to

**A.** refrain from donating to DeFrietas.

**C.** donate to DeFrietas because he will be supporting a candidate whose environmental policies align with his beliefs.

## Analysis

A is correct. If Myers makes the donation to DeFrietas's campaign, his actions would potentially violate Standard I(B) Independence and Objectivity, which states that CFA Institute members and candidates "must not offer . . . any gift, benefit, compensation, or consideration that reasonably could be expected to compromise . . . another's independence and objectivity." Although Myers has a legitimate reason for donating to DeFrietas, the facts clearly indicate that he believes the donation might also influence DeFrietas to choose Corboba to manage money for the state's pension plans. Standard I(B) prohibits CFA Institute members and candidates from attempting to gain lucrative allocations from government-sponsored pension funds by making donations to the political campaigns of individuals directly responsible for the manager hiring decisions.

B is incorrect. The source and the amount of the funds are irrelevant if the donation is meant to influence DeFrietas. In addition, the sum of $10,000 might be significant in the context of the campaign and thus important to DeFrietas. The critical issue is whether the donation is reasonably designed to improperly affect DeFrietas's independence and objectivity and benefit Myers or Corboba directly. Many factors would go into this determination, including the size of the donation, Myers's intent in making the donation, and how influential DeFrietas's position would be in making the hiring decision. The facts state that one of the reasons for Myers's donation is to have influence over receiving investment management business from the state.

C is incorrect. Myers seems to have both proper and improper motivations for making a political contribution to DeFrietas. Myers supports DeFrietas's positions on protecting the environment and wants to further those goals. Standard I(B) is not meant to prevent investment professionals from participating in the political process through financial or other support for candidates. But Myers recognizes that financial support of DeFrietas could benefit Corboba by gaining favor with someone who might be in a position to determine whether to invest in Corboba's fund. Therefore, Myers' actions could be perceived as inappropriate, so the best course of action would be to avoid any potential conflict by not donating to DeFrietas's campaign and finding other ways to support environmental protection policies.

## Misrepresentation

> Members and Candidates must not knowingly make any misrepresentations relating to investment analysis, recommendations, actions, or other professional activities.

## Lee

Lee, CFA, is a financial planner for AKC. AKC compensates its planners based on the number of AKC products they sell. Lee advises a married couple to transfer their retirement funds totaling $125,000 into a single AKC investment fund that follows a large-cap equity strategy. Lee discloses to the couple that they will have to pay a penalty totaling $30,000 for closing their retirement accounts but claims they will make up the loss with better investment returns from the AKC product.

Lee's actions are

**A.** acceptable if the AKC product is suitable for the couple.
**B.** a violation of the CFA Institute Code and Standards because she is promising a specific rate of return.
**C.** acceptable because she fully discloses the negative consequences of closing their retirement accounts.

## Analysis

B is correct. This case involves Standard I(C) Misrepresentation, which states that CFA Institute members and candidates must not knowingly make any misrepresentation related

return on volatile investments. Because the equity-based investment is inherently volatile and the future return is unpredictable, Lee's promises about future returns making up for the penalty of withdrawing the funds violates Standard I(C). Trust is the foundation of the investment profession. Investment professionals who make false or misleading statements not only harm investors but also reduce the level of investor confidence in the investment profession and threaten the integrity of the capital markets.

A is incorrect. Even if the AKC product is suitable for the couple, it is an equity-based investment that is inherently volatile. Any statements that the investment will provide a certain rate of return or be worth a certain amount in the future is a misrepresentation. This case also raises questions about whether advising the couple to take such a significant loss in their retirement savings would be in their best interest and whether Lee's independence and objectivity are compromised because her recommendation is influenced by the compensation scheme of her employer.

C is incorrect. Although Lee fully discloses the negative consequences of transferring the couple's assets to the AKC product, that disclosure does not mitigate her inappropriate and misleading statement about future expected returns.

## Andersen

Andersen, CFA, is the CEO of an asset management firm. Andersen and other senior investment managers at his firm make an in-person proposal to manage the investments of a large pension plan. In response to a request from the pension plan, Andersen provides a list of the key personnel who would manage the account. While waiting for the outcome of the evaluation, one of the key personnel that Andersen identified and who was part of the team that made the in-person presentation leaves the firm.

Andersen should

**A.** do nothing because the pension plan is hiring the firm, not an individual.
**B.** immediately inform the pension plan that one of the key personnel has left the firm.
**C.** hire a competent replacement for the person who left and then inform the pension plan of the change.

## Analysis

B is correct. This case relates to Standard I(C) Misrepresentation, which prohibits members and candidates from knowingly misrepresenting anything relating to their professional activities. After the proposal is submitted to the pension plan for its investment management business, a staff member leaves Andersen's team. Andersen has identified the person leaving as a key member of the team that made the initial presentation. Given the pension plan asked for a list of individuals who would be handling the account, this information is clearly important in their decision to hire Andersen's firm. Withholding the information about the person leaving would be a misrepresentation by omission.

A is incorrect. Andersen obviously has confidence in the firm as a whole and will likely replace the person leaving with a competent professional with similar experience and talent so that the transition in service is seamless for clients. The pension plan is clearly concerned about the specific personnel involved in managing its assets because it asked for that information. If this were a junior employee, a staff member who had limited effect on the investment decision-making process, or someone who was not listed as a key employee or who had not been part of the team making the presentation, then Andersen might not need to provide an update to the pension plan. However, given the information in the case, to avoid a misrepresentation, Andersen must tell the pension plan about the departure of the key staff member.

C is incorrect. Waiting until a replacement is found is too late because knowing who the managers are on the team is clearly important to the pension plan's hiring decision.

## Brodeur

social media account to disseminate information to LeTour investors and the investing public. After the media reports that the company is having difficulty producing cars and delivering them to buyers, Brodeur posts on his social media that the company is "considering taking LeTour private at $420 a share. Funding is secure."

Previously, Brodeur had met with a large sovereign wealth fund (SWF) that expressed general interest in investing in the company and taking the company private. But Brodeur and the SWF had not reached any agreement or determined a share purchase price. Brodeur was also in discussions with investment banks but had not yet retained any advisers to assist with taking the company private. After the post, LeTour's stock price increased more than 6% on significantly increased volume and closed at $380 per share, 10% higher than on the previous day. When asked about the specific stock price in the post, Brodeur admitted that he had not discussed pricing with any potential investor but chose the price as a joke. Brodeur's actions are

**A.** inappropriate because the post was a misrepresentation of the facts.
**B.** inappropriate because not all investors use social media, so Brodeur is selectively disclosing information and putting some investors at a disadvantage.
**C.** appropriate because his post said only that he was "considering" taking the company private and thus contained only speculative, nonmaterial information.

## Analysis

A is correct. This case relates to Standard I(C) Misrepresentation, which states that CFA Institute members and candidates must not knowingly make any misrepresentation relating to professional or investment activities. Brodeur's post was based on assumptions and contrary to the facts. Among other things, he (1) had not reached any agreement with the SWF, (2) had never discussed a share price of $420, (3) had set the price as a joke, and (4) had not formally retained any legal or financial advisers to assist with taking the company private. Unlike market participants reading his post, Brodeur knew that his supposed "secure" funding was based on a general conversation regarding a potential investment of an unspecified amount in the context of an undefined transaction structure. Because of the uncertainties that would need to be resolved before going private could be possible, Brodeur knew or should have known that his statements were false and misleading. The online or interactive aspects of social media do not remove the need to be open and honest about the information being distributed.

B is incorrect. Disseminating information to investors using social media might be appropriate and ethical under certain conditions. Distribution channels to make information public do not need to be guaranteed to reach all investors, but they must be designed to effectively make the information public. As long as the information shared reaches all clients or is available to the investing public, social media platforms would be comparable with other, traditional forms of communication, such as press releases or email communication. But because the information was misleading, Brodeur's use of social media was not appropriate.

C is incorrect. The post can be considered "material" information and not speculative because (1) the source of the post was the company's CEO, (2) the subject matter was dramatic and elemental, and (3) investors would want to know the information before making an investment decision.

## Misconduct

> Members and Candidates must not engage in any professional conduct involving dishonesty, fraud, or deceit or commit any act that reflects adversely on their professional reputation, integrity, or competence.

## Hanse

Hanse, CFA, is a portfolio manager employed by a global investment bank. She manages an environmental, social, and governance (ESG) investment fund. In her free time, Hanse participates in civil disobedience demonstrations organized by the Extinction Rebellion, a

district, Hanse is arrested on charges of unlawful assembly, obstructing public transit, and disorderly conduct. She is ultimately convicted of several minor criminal offenses. Hanse has signed a standard employment contract with the bank that allows it to terminate any employee who is convicted of a criminal offense.

Under the CFA Institute Code and Standards, Hanse's actions

**A.** do not violate the Code and Standards.
**B.** violate the Code and Standards because she has violated her employment contract with the bank.
**C.** violate the Code and Standards because she is arrested for misconduct in the financial district.

## Analysis

A is correct. This case relates to what constitutes professional misconduct. Standard I(D) Misconduct prohibits CFA Institute members and candidates from engaging "in any professional conduct involving dishonesty, fraud, or deceit" or from committing "any act that reflects adversely on their professional reputation, integrity, or competence." Generally, Standard I(D) is not meant to cover legal transgressions resulting from acts of civil disobedience in support of personal beliefs, because such conduct does not reflect adversely on the member's professional reputation, integrity, or competence.

B is incorrect. Hanse's arrest is not likely an automatic violation of bank policies. Although Hanse's employment contract gives the bank the option to fire her for criminal activity, the bank can apparently use discretion in retaining employees depending on the nature and circumstances of the conviction. Further, the Code and Standards are not automatically violated with every violation of an employer's employment contract unless the violations relate to conduct addressed in the Code and Standards.

C is incorrect. The fact that Hanse is arrested in the financial district is not a sufficient link to her professional activities to make her actions a violation of the Code and Standards. The acts of civil disobedience by Hanse reflect her personal beliefs, which would generally not be considered an act involving fraud, dishonesty, or deceit or an act that reflects poorly on her professional reputation, integrity, or competence.

## Mang

Mang, CFA, is an investment adviser for a regional bank that has a number of discretionary, fee-based accounts for high-net-worth individuals. The bank's policies permit trade error corrections up to 30 days following a failure to place a trade when an adviser forgets to send an order to the trading desk. To rectify the error, the adviser is permitted to buy or sell a security at the current market price, with the price differential charged to the adviser personally through an internal error account.

On many occasions, Mang uses the trade error correction policy to benefit clients who are unhappy with their account's performance. Mang identifies a security whose price has increased in the past 30 days. He then tells the trade desk he mistakenly failed to buy that particular security some days before, when the price was substantially lower than the current market price. Once the request is approved, the trade desk purchases the security and charges the price differential to Mang personally through the error account. Shortly after that trade, Mang sends an order to sell the security and net a profit for the client. Mang then tells the client that he has given them a "gift" or "no-risk" trade.

Mang's actions

**A.** violate the CFA Institute Code and Standards.
**B.** are appropriate because Mang is acting for the benefit of the client.
**C.** are appropriate because the bank is not harmed by Mang's actions.

## Analysis

fraud, or deceit. He is engaging in a misleading, fraudulent, and deceptive practice and misusing the bank's policies to enhance the performance of his clients' accounts when no legitimate error was made. He personally compensates clients as a means to mislead them about his ability as an investment adviser as well as the actual performance of their accounts.

B is incorrect. Although the trades benefit his clients, Mang is engaging in professional misconduct by misleading his clients with fraudulent and deceptive conduct.

C is incorrect. The fact that these practices did not cause financial losses for the bank does not make Mang's conduct any less deceptive, fraudulent, or misleading.

## Competence

> Members and Candidates must act with and maintain the competence necessary to fulfill their professional responsibilities.

## Mahajan

Mahajan, CFA, is a successful research analyst for a large, global investment firm, working as part of a research team covering the renewable energy sector. To further his career, Mahajan applies for a new position and is hired by a boutique investment research firm focusing on ESG factors and ratings. As part of the new position, Mahajan will be supervising a team of several junior analysts. Although he worked with other analysts at his prior positions, he has not previously had supervisory responsibility. His team's remit includes the renewable energy sector, as well as transportation and construction. To prepare for his new job, Mahajan enrolls in the CFA Institute Certificate in ESG Investing program, attends several webinars focusing on environmentally friendly practices in the construction industry, engages in extensive outside reading on developments in electric transportation, and joins a trade organization for ESG-focused analysts.

With regard to meeting his responsibilities to comply with the Code and Standards, Mahajan's actions

**A.** are sufficient to comply with all his responsibilities under the Code and Standards.
**B.** fail to meet the requirements of the Code and Standards because he is not enrolled in a formal continuing education program.
**C.** fail to meet the requirements of the Code and Standards because he has not undertaken activities to obtain the skills and knowledge needed for fulfilling his new role as supervisor.

## Analysis

C is correct. This case relates to Standard I(E) Competence, which requires members and candidates to act with and maintain the competence necessary to fulfill their professional responsibilities. Mahajan's professional responsibilities changed when he took the new position that requires competence in other skills, abilities, and knowledge beyond those needed for his previous position. He will have supervisory responsibility for the first time, and the industry sectors that he will be covering have expanded. Standard I(E) requires Mahajan to extend his competence to cover all responsibilities of his new role. Through education and self-study, Mahajan endeavors to develop competence for his widening responsibility for research and analysis. However, he does not take steps to obtain the skills and knowledge needed for fulfilling his supervisory responsibility over the other analysts. To do this, he could have taken such steps as attending conferences or taking professional development courses on management, earning compliance credentials, and undergoing internal training from his firm on supervisory responsibility.

A is incorrect. While he focuses on improving his competence on the new industries he will be covering as part of his new position, Mahajan does not take steps to obtain the skills and knowledge needed for fulfilling his new supervisory responsibility of the other analysts, as required by Standard I(E).

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Standard I(E), although doing so would be one method of developing and maintaining competence.

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Discussion

What do you want to discuss... (required)

MG lol, love the repurposing of Musk's Twitter post!!! Someone here has a sense of humor

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